Asset-Liability Management (ALM) Policy

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Version: 1.0
Approved By: Board of Directors

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1. Purpose and Objectives

This Asset-Liability Management (ALM) Policy establishes a comprehensive framework for managing the financial institution's balance sheet risks arising from mismatches between assets and liabilities. The primary objectives are:

- To ensure adequate liquidity to meet all financial obligations as they become due
- To optimize net interest margin while maintaining acceptable risk levels
- To manage interest rate risk exposure within established tolerance limits
- To maintain capital adequacy in accordance with regulatory requirements
- To support strategic business objectives through effective balance sheet management

2. Scope and Application

This policy applies to all balance sheet activities of the institution, including but not limited to lending operations, deposit taking, investment portfolio management, borrowing activities, and off-balance sheet exposures. All business units and departments involved in asset or liability creation must comply with this policy[web:17].

3. Governance Structure

3.1 Asset-Liability Committee (ALCO)

The ALCO is responsible for overseeing the implementation of this policy and managing balance sheet risks. The committee shall:

- Meet at least monthly to review ALM metrics and positions
- Establish and monitor risk limits for interest rate and liquidity risk
- Approve pricing strategies for assets and liabilities
- Review economic forecasts and their impact on balance sheet positioning
- Oversee stress testing and scenario analysis activities
- Report findings and recommendations to the Board of Directors quarterly

3.2 Roles and Responsibilities

Board of Directors: Approves ALM policy, risk appetite, and strategic guidelines; reviews ALCO reports quarterly[web:14].

ALCO Members: Chief Executive Officer, Chief Financial Officer, Treasurer, Chief Risk Officer, and heads of major business lines.

Treasury Department: Executes ALM strategies, manages liquidity positions, and maintains daily monitoring of key metrics.

Risk Management: Independently validates ALM models, conducts stress testing, and ensures compliance with policy limits.

4. Risk Identification and Measurement

4.1 Interest Rate Risk (IRR)

Interest rate risk represents the potential adverse impact on earnings and capital from changes in market interest rates[web:1][web:17].

Measurement Techniques:

- **Gap Analysis:** Measure the difference between rate-sensitive assets (RSA) and rate-sensitive liabilities (RSL) across time

buckets
- **Duration Analysis:** Calculate weighted average duration of assets and liabilities to assess price sensitivity
- **Simulation Modeling:** Project net interest income under various interest rate scenarios
- **Economic Value of Equity (EVE):** Assess changes in net present value of cash flows under rate shocks

Risk Limits:

Metric	Limit
1-Year Cumulative Gap to Total Assets	±20%
Net Interest Income at Risk (200 bp shock)	±15%
Economic Value of Equity at Risk (200 bp shock)	±20%
Duration Gap (Assets - Liabilities)	±2.0 years

Table 1: Interest Rate Risk Limits

4.2 Liquidity Risk

Liquidity risk is the potential inability to meet financial obligations when they come due without incurring unacceptable losses[web:14][web:17].

Measurement Framework:

- **Liquidity Coverage Ratio (LCR):** High-quality liquid assets relative to net cash outflows over 30 days
- **Net Stable Funding Ratio (NSFR):** Available stable funding relative to required stable funding
- **Maturity Ladder Analysis:** Cash flow mismatches across time horizons
- **Concentration Metrics:** Funding source diversification and large depositor analysis

Liquidity Requirements:

Metric	Minimum Requirement
Liquidity Coverage Ratio (LCR)	≥110%
Net Stable Funding Ratio (NSFR)	≥105%
Liquid Assets to Total Assets	≥15%
Loans to Deposits Ratio	≤90%
Cumulative 30-Day Gap Coverage	100%

Table 2: Liquidity Risk Requirements

4.3 Credit Risk

While managed separately under credit policies, credit risk impacts ALM through asset quality deterioration and potential liquidity strain from non-performing assets[web:17].

Key Monitoring Metrics:

- Delinquent loans to total loans: ≤3%
- Non-performing assets to total assets: ≤2%
- Loan loss reserves to non-performing loans: ≥100%
- Concentration risk: Single borrower limit ≤10% of capital

5. Interest Rate Risk Management

5.1 Strategic Positioning

The institution shall maintain a balanced interest rate risk profile that protects earnings during rate cycles while supporting business objectives. ALCO will establish quarterly positioning targets based on rate forecasts and risk appetite[web:14].

5.2 Management Tools and Techniques

1. **Natural Hedging:** Match asset and liability repricing characteristics through product design and pricing
2. **Product Mix Management:** Adjust composition of fixed-rate versus variable-rate assets and liabilities
3. **Pricing Strategies:** Modify deposit and loan rates to influence growth patterns

4. **Investment Portfolio Management:** Adjust duration and composition of securities portfolio
5. **Derivative Instruments:** Use interest rate swaps, caps, and floors when approved by Board (subject to separate derivatives policy)

5.3 Repricing Analysis

Monthly repricing gap reports shall categorize assets and liabilities into time buckets based on earliest repricing date:

- 0-30 days
- 31-90 days
- 91-180 days
- 181 days - 1 year
- 1-3 years
- 3-5 years
- Over 5 years

6. Liquidity Risk Management

6.1 Liquidity Buffer

The institution shall maintain a liquidity buffer consisting of unencumbered, high-quality liquid assets sufficient to cover stressed net cash outflows for a minimum of 30 days[web:14].

Eligible Liquid Assets:

- Cash and central bank reserves
- Government securities (AAA-rated)
- High-grade corporate bonds (A-rated or higher)
- Marketable equity securities (with haircuts applied)

6.2 Funding Strategy

- **Diversification:** Maintain diverse funding sources to reduce concentration risk
- **Core Deposits:** Target core deposits (retail and small business) as ≥60% of total funding

- **Wholesale Funding:** Limit reliance on wholesale funding to ≤25% of total liabilities
- **Contingency Funding:** Establish committed credit lines equal to at least 10% of total assets

6.3 Maturity Management

Match asset and liability maturities to minimize liquidity gaps. Monthly maturity ladder analysis shall identify cumulative funding gaps across all time horizons.

7. Capital Management

7.1 Capital Adequacy

Maintain regulatory capital ratios above minimum requirements with appropriate buffers[web:1]:

Capital Ratio	Regulatory Minimum	Internal Target
Common Equity Tier 1 (CET1)	4.5%	≥8.0%
Tier 1 Capital Ratio	6.0%	≥10.0%
Total Capital Ratio	8.0%	≥12.0%
Leverage Ratio	3.0%	≥5.0%

Table 3: Capital Adequacy Requirements

7.2 Capital Planning

Annual capital plan shall project capital needs under baseline and stressed scenarios, considering:

- Earnings retention and dividend policy
- Asset growth projections
- Risk-weighted asset evolution
- Regulatory changes
- Strategic initiatives requiring capital deployment

8. Investment Strategies

8.1 Portfolio Objectives

The investment portfolio serves to provide liquidity, generate income, and manage interest rate risk. Investment decisions shall balance these objectives while maintaining credit quality and diversification[web:14].

8.2 Eligible Securities

- Government securities (Treasury bonds, notes, bills)
- Government agency securities
- Municipal securities (investment grade)
- Corporate bonds (minimum A-rating)
- Mortgage-backed securities (agency-issued)
- Asset-backed securities (AAA-rated tranches only)

8.3 Investment Limits

Category	Maximum % of Portfolio
Single Issuer (non-government)	5%
Corporate Securities (total)	30%
Mortgage-Backed Securities	40%
Asset-Backed Securities	10%
Securities below AA-rating	15%

Table 4: Investment Portfolio Limits

9. Pricing Strategies

9.1 Transfer Pricing

Implement a funds transfer pricing (FTP) system to properly allocate interest rate risk and measure business unit profitability. The FTP methodology shall:

- Assign market-based funding costs to assets
- Credit market-based investment rates to liabilities

- Centralize interest rate risk management in Treasury/ALCO
- Support strategic pricing decisions

9.2 Product Pricing

Loan and deposit pricing shall consider:

- Cost of funds and FTP rates
- Operating costs and risk premiums
- Competitive market conditions
- Target profit margins
- Strategic business objectives
- Impact on overall balance sheet positioning

10. Stress Testing and Scenario Analysis

10.1 Stress Testing Framework

Conduct quarterly stress tests to assess resilience under adverse conditions[web:11][web:14]. Scenarios shall include:

Interest Rate Scenarios:

- Parallel shifts: ±200 basis points, ±300 basis points
- Non-parallel shifts: Steepening, flattening, and twisting yield curves
- Sustained low rate environment
- Rapid rate increases

Liquidity Scenarios:

- Sudden large deposit withdrawal (10% of deposits over 5 days)
- Loss of wholesale funding access
- Credit line drawdowns (50% of commitments)
- Market liquidity stress (reduced ability to sell securities)

Combined Scenarios:

- Economic recession with rising credit losses and deposit outflows
- Credit event leading to reputation damage and funding stress

10.2 Stress Test Analysis

For each scenario, evaluate impacts on:

- Net interest income and margin
- Liquidity ratios and cash flow gaps
- Capital ratios
- Economic value of equity
- Ability to meet obligations

10.3 Contingency Planning

Develop and maintain a Contingency Funding Plan (CFP) outlining actions to address liquidity stress, including:

- Early warning indicators and trigger levels
- Escalation procedures and decision authority
- Available liquidity sources (asset sales, secured borrowing, emergency facilities)
- Communication protocols (internal, regulatory, public)

11. Reporting Requirements

11.1 Monthly ALCO Reports

Treasury shall prepare comprehensive monthly reports including:

1. Balance sheet composition and trends
2. Interest rate risk metrics (gap analysis, duration, simulation results)
3. Liquidity metrics (LCR, NSFR, maturity ladder)
4. Net interest margin and income trends
5. Investment portfolio composition and performance
6. Compliance with policy limits
7. Market rate environment and outlook

11.2 Quarterly Board Reports

ALCO shall submit quarterly reports to the Board of Directors summarizing:

- ALM strategy and positioning

- Key risk metrics and limit utilization
- Stress test results
- Significant balance sheet changes
- Policy exceptions and remediation plans
- Forward-looking strategic recommendations

11.3 Regulatory Reporting

Ensure timely and accurate submission of all required regulatory reports related to ALM, including liquidity coverage, interest rate risk, and capital adequacy filings.

12. Policy Compliance and Exceptions

12.1 Limit Monitoring

Treasury and Risk Management shall monitor compliance with policy limits daily. Any limit breaches must be:

- Reported to ALCO Chair immediately
- Documented with root cause analysis
- Addressed with remediation plan within 5 business days
- Escalated to Board if breach persists beyond 30 days

12.2 Policy Exceptions

Temporary exceptions to policy limits may be granted only by ALCO with:

- Written justification documenting business rationale
- Defined duration (not exceeding 90 days)
- Enhanced monitoring requirements
- Board notification for material exceptions

13. Policy Review and Updates

This ALM Policy shall be reviewed annually by ALCO and approved by the Board of Directors. The policy shall be updated as needed to reflect:

- Changes in regulatory requirements

- Evolution of business strategy
- Lessons learned from stress events
- Advances in risk management practices
- Modifications to risk appetite

Appendix A: Key Risk Metrics Dashboard

Metric	Current Value	Policy Limit	Status
1-Year Gap / Total Assets	12%	±20%	Compliant
NII at Risk (200bp)	-8%	±15%	Compliant
EVE at Risk (200bp)	-14%	±20%	Compliant
LCR	125%	≥110%	Compliant
NSFR	112%	≥105%	Compliant
Loans to Deposits	82%	≤90%	Compliant
CET1 Ratio	9.2%	≥8.0%	Compliant
Total Capital Ratio	13.5%	≥12.0%	Compliant

Table 5: Sample ALM Metrics Dashboard (as of March 2026)

Appendix B: Definitions

Asset-Liability Management (ALM): The practice of managing risks arising from mismatches between assets and liabilities.

Duration: A measure of the weighted average time to receive cash flows, indicating price sensitivity to interest rate changes.

Gap Analysis: Measurement of the difference between rate-sensitive assets and liabilities within specified time periods.

High-Quality Liquid Assets (HQLA): Cash and securities that can be quickly converted to cash with minimal loss of value.

Interest Rate Risk: The risk that changes in market interest rates will adversely affect earnings or capital.

Liquidity Risk: The risk of being unable to meet financial obligations when due without incurring unacceptable losses.

Net Interest Margin (NIM): Net interest income as a percentage of average earning assets.

Repricing: The date when an asset or liability interest rate changes or matures.

Appendix C: Document Control

Version	Date
1.0	March 12, 2026

Table 6: Document Version History

Next Review Date: March 12, 2027

Document Owner: Chief Financial Officer

Approval Authority: Board of Directors

References

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